

Ellan Vannin Wealth Management

Policy Memorandum to HM Treasury

The British Water Export Initiative

A Strategic Assessment of Bulk Freshwater Exports to the Gulf Cooperation Council

A Proposal for Converting Britain's Water Surplus into a Long-Term National Infrastructure Fund

Executive Summary

Ellan Vannin Wealth Management (EVWM) recommends that HM Treasury commission a **National Water Export Feasibility Study** to determine whether the United Kingdom can develop a commercially viable bulk freshwater export industry serving water-scarce Gulf Cooperation Council (GCC) states.

The proposal is based on a simple strategic observation:

Britain possesses relatively abundant rainfall and established water infrastructure, while GCC countries face structural water scarcity and rely heavily on desalination.

The concept would examine whether treated freshwater could be exported in dedicated bulk-water shipments where commercially viable, with revenues reinvested into Britain's ageing water infrastructure.

However, unlike a conventional policy proposal, this should begin as a **technical and commercial feasibility programme**, because there are important engineering, regulatory and commercial constraints that would need to be overcome.

Strategic Context

Britain's water industry requires substantial long-term capital investment.

Current priorities include:

- new reservoirs
- leakage reduction
- treatment works
- transfer pipelines

- drought resilience

Ofwat is already developing commercial frameworks for major new water infrastructure and bulk water transfers between water companies, illustrating the wider move towards more flexible water markets.

Rather than relying entirely upon customer bills, an export industry—if commercially viable—could become one additional source of investment capital.

Why the Gulf?

The GCC consists of:

- Saudi Arabia
- United Arab Emirates
- Qatar
- Kuwait
- Bahrain
- Oman

These countries already spend billions of pounds each year securing freshwater through:

- desalination
- groundwater abstraction
- recycling
- strategic storage

At the same time, UK-GCC trade links are strengthening through a newly concluded free trade agreement.

The Commercial Concept

The proposal would investigate whether ships that would otherwise return with spare cargo capacity could transport bulk freshwater under dedicated commercial arrangements.

Potential export ports could include:

- Liverpool
- Milford Haven
- Bristol
- Southampton

Potential import terminals:

- Dubai
- Abu Dhabi
- Doha
- Dammam

- Muscat

This would not replace desalination, but could provide an additional source of water during periods of exceptionally high demand or emergency supply disruption.

Important Engineering Consideration

A key point is that **oil tankers cannot simply be filled with drinking water after carrying crude oil or petroleum products**. Potable water requires dedicated tanks or vessels certified for food-grade cargoes, and international ballast-water and water-quality regulations apply. Any practical export system would therefore need purpose-built bulk-water carriers or suitably certified ships rather than assuming conventional oil tankers could be reused without modification.

Phase One

National Water Export Study

Investment:

£25 million

Objectives:

- identify surplus water resources
- assess environmental sustainability
- evaluate treatment requirements
- identify suitable ports
- examine shipping options
- negotiate GCC commercial interest
- establish regulatory framework

Duration:

24 months

Phase Two

Demonstration Export Programme

Investment:

£150 million

Develop:

- export loading terminal
- storage reservoirs
- water-quality systems
- dedicated shipping contracts

Operate several pilot shipments to evaluate:

- transport costs
 - water quality
 - commercial demand
 - operational reliability
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Phase Three

British Water Export Corporation

If the pilot proves commercially viable, establish a corporation responsible for:

- export contracts
 - infrastructure investment
 - strategic storage
 - water marketing
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Revenue Model

Potential revenue sources include:

- long-term water supply agreements
- emergency drought contracts
- industrial water supply
- strategic reserve agreements

The proposal assumes premium pricing for reliability rather than competing directly with low-cost desalinated water.

Water Infrastructure Fund

Net revenues would be ring-fenced into:

The National Water Renewal Fund

Supporting:

- reservoir construction
- pipeline upgrades
- leakage reduction
- flood resilience
- treatment works
- smart water networks

The concept mirrors sovereign wealth approaches in which income from one strategic asset finances another.

Economic Benefits

Potential long-term benefits include:

- diversification of UK exports
 - engineering and port investment
 - maritime employment
 - stronger UK-GCC commercial links
 - additional funding for domestic water infrastructure
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Strategic Risks

The feasibility study would specifically assess:

- comparative cost versus desalination
- environmental sustainability of water abstraction
- shipping economics
- international water-quality regulation
- long-term demand certainty
- energy costs

These issues are critical because desalination costs continue to fall in many Gulf states, and any export model would need to demonstrate a clear commercial advantage in specific markets or circumstances.

Financial Objectives

If a commercially viable export sector emerged, indicative long-term targets might be:

Metric	Target
Programme IRR	7–9%
Investment horizon	25 years
Export contract duration	10–20 years

These figures are illustrative and would depend entirely on the results of the feasibility work.

Final Recommendation

Ellan Vannin Wealth Management recommends that HM Treasury establish:

The British Water Export Feasibility Commission

The commission's purpose would not be to assume that large-scale freshwater exports are commercially viable, but to determine **whether they could become a niche strategic export** for the United Kingdom.

If successful, any surplus revenues should be dedicated to modernising Britain's water infrastructure, creating a virtuous cycle in which export earnings help finance reservoirs, treatment works and distribution networks.

The central principle is:

Britain's water resources should first meet domestic environmental and public supply needs. Where genuinely sustainable surpluses exist, they should be evaluated as a potential long-term economic asset capable of supporting investment in the nation's future water security.